

MASTER WAREHOUSE SERVICES AGREEMENT

Redlined Version — L&M Distribution and Logistics

Between: Cornerstone Systems Inc. (“Broker/Customer”) and L&M Distribution and Logistics (“Warehouse”)

Prepared: February 2026

NOTE: Text in **bold** represents L&M additions/modifications. ~~Strikethrough~~ represents deletions from the original Cornerstone template. Commentary is provided in [BRACKETS].

SECTION A — SERVICES

Warehouse agrees to provide the following services for Broker: storage, break bulk, transloading, issuance of Bills of Lading, and delivery of goods to motor carriers designated by Broker, **subject to the rates, terms, and service scope defined in Exhibit A (Rate Schedule) attached hereto.**

[L&M ADDITION: Ties all services to a defined rate schedule rather than leaving pricing ambiguous.]

SECTION B — COMPLIANCE

Warehouse shall maintain compliance with all applicable federal, state, and local laws, regulations, and licensing requirements. **Warehouse currently holds all required alcohol transporter licenses for PA, NJ, NY, and MD.**

~~Food grade facilities shall maintain pest control programs and achieve an AIB or similar rating of Superior or Excellent.~~

Where applicable, Warehouse shall maintain pest control programs and food-grade certifications appropriate to the commodity being stored. Specific compliance requirements shall be mutually agreed upon in writing prior to commencement of services for each commodity type.

[L&M CHANGE: Removes blanket food-grade requirement. L&M handles alcohol/beverage, not food — certification requirements should be commodity-specific.]

SECTION 1 — DELIVERY ORDERS

Broker shall notify Warehouse **in writing (email acceptable)** in advance of all inbound shipments. **Verbal notification alone shall not constitute a valid delivery order.** Broker shall follow up with a written “Delivery Order” by ~~fax or~~ email **no less than 24 hours prior to the scheduled arrival of the shipment.**

[L&M CHANGE: Eliminates verbal-only orders which create disputes. Requires written notice with 24-hour lead time for operational planning.]

SECTION 2 — FACILITY LOCATION

All services shall be performed at Warehouse facilities located at:

PA-1151: 1151 Beaver Street, Bristol, PA 19007 PA-510: 510 Station Avenue, Bensalem, PA 19020 (PLCB Rework) SC-577: 577 Celriver Road, Rock Hill, SC 29730

Warehouse reserves the right to relocate goods between its facilities with prior written notice to Broker, provided such relocation does not result in additional charges to Broker or degradation of service levels.

SECTION 3 — RECEIPT / STRIPPING TALLY

Warehouse shall issue a Warehouse Receipt/Stripping Tally ("WRST") containing an accurate description of goods received, including notation of any visible damage, shortage, or overage. WRST shall be transmitted to Broker within **48 hours** ~~24 hours~~ of receipt. All WRSTs shall be consecutively numbered with all fields completed.

Packaging count shall control for purposes of inventory reconciliation. Piece counts from Delivery Orders are for reference only and shall not constitute the basis for any shortage claim.

[L&M CHANGE: Extended WRST turnaround from 24 to 48 hours — more realistic for high-volume transload operations. Clarifies that packaging count controls, protecting L&M from piece-count disputes.]

SECTION 4 — PAYMENT FOR SERVICES

Payment for services shall be made within **thirty (30) days** of receipt by Broker of a proper invoice accompanied by supporting documentation (WRST copy and BOL). **Invoices shall be submitted weekly by Warehouse via email to invoices@cornerstone-systems.com.**

~~If Warehouse attempts to assert a lien or hold freight, Cornerstone may notify their customers directly.~~

Warehouse shall not assert any lien or hold on goods except as expressly permitted under Section 22 of this Agreement and applicable law. In the event of a bona fide billing dispute, Broker shall pay all undisputed amounts within the 30-day term and the parties shall resolve the disputed portion through good faith negotiation per Section 21.

Late payments beyond 30 days shall accrue interest at a rate of 1.5% per month on the outstanding balance.

[L&M CHANGES: (1) Removes Cornerstone's right to go directly to L&M's customers — that's a nuclear option that shouldn't be in a standard contract. (2) Adds late payment interest to protect L&M's cash flow. (3) Establishes dispute resolution for billing disagreements.]

SECTION 5 — RESPONSIBILITY FOR DAMAGE

~~Warehouse responsible for: casualty loss, accidental damage, intentional damage, theft, pest/rodents, food contamination, vandalism. Warehouse indemnifies Cornerstone from all claims. Cornerstone may set off freight damages against amounts owed.~~

Warehouse shall be responsible for loss of or damage to goods in its custody caused solely by the negligence or willful misconduct of Warehouse, its employees, or agents. Warehouse shall not be liable for:

(a) Loss or damage caused by the inherent nature of the goods; (b) Loss or damage caused by acts of God, war, terrorism, civil unrest, or government action; © Loss or damage caused by Broker's failure to properly package, label, or describe goods; (d) Shrinkage, evaporation, or natural deterioration; (e) Loss or damage occurring during transit (which is the responsibility of the motor carrier).

Warehouse's total aggregate liability for any single occurrence shall not exceed the lesser of: (i) the declared value of the goods as stated on the Delivery Order, or (ii) \$100,000 per occurrence.

Broker shall not set off or deduct any claimed damages from amounts owed to Warehouse without Warehouse's prior written consent. Disputed amounts shall be resolved per Section 21.

Insurance Requirements:

- A. Commercial General Liability: \$1,000,000 per occurrence
- B. Warehouseman Legal Liability: \$1,000,000 per occurrence

- C. Cargo Liability: \$250,000 ~~\$100,000~~
- D. Workers' Compensation: Statutory limits
- E. Commercial Auto Liability: \$1,000,000 (combined single limit)

Each party shall name the other as "Additional Insured" on its Commercial General Liability policy and provide a Certificate of Insurance upon request.

[L&M MAJOR CHANGES: (1) Limits liability to negligence/willful misconduct only — the original made L&M liable for virtually everything. (2) Adds liability cap of 100K per occurrence. (3) Eliminates Cornerstone's right to unilaterally deduct damages from payments. (4) Increased cargo liability: 250K (more appropriate for transload). (5) Made insurance naming mutual — both parties should be additional insured, not just L&M naming Cornerstone.]

SECTION 6 — FORCE MAJEURE

Neither party shall be liable for failure to perform obligations under this Agreement due to events beyond its reasonable control, including but not limited to acts of God, fire, flood, earthquake, epidemic, pandemic, war, terrorism, government action, labor disputes, or disruption of utilities or transportation. The affected party shall provide prompt written notice and use commercially reasonable efforts to resume performance. **The non-affected party may terminate this Agreement upon 60 days written notice if the force majeure event continues for more than 90 consecutive days.**

SECTION 7 — MOTOR CARRIER PAYMENTS

Broker shall be responsible for selection, coordination, and payment of motor carriers. Warehouse shall hold Broker harmless from any claims arising from motor carrier operations **except to the extent such claims arise from Warehouse's negligence in loading, securing, or releasing shipments.**

Warehouse shall use commercially reasonable efforts to have shipments ready for pickup within the timeframe specified in the applicable Delivery Order. Warehouse shall not be liable for carrier-imposed accessorial charges unless such charges result directly from Warehouse's failure to exercise reasonable care.

[L&M CHANGE: Original made L&M automatically liable for ALL accessorial charges. This limits it to cases of actual negligence.]

SECTION 8 — CONFIDENTIALITY

~~ALL information from Cornerstone is "proprietary Confidential Information." Cannot use for competition, taking business, interfering with relationships. Covers employees, customers, suppliers. Breach = injunctive relief + attorney fees + no bond required.~~

Each party acknowledges that in the course of performing under this Agreement, it may receive confidential or proprietary information of the other party ("Confidential Information"). Confidential Information includes, but is not limited to, pricing, customer lists, operational procedures, and business strategies that are clearly marked as confidential or that a reasonable person would understand to be confidential.

Each party agrees to: (a) Use Confidential Information solely for the purpose of performing under this Agreement; (b) Not disclose Confidential Information to any third party without prior written consent; © Protect Confidential Information with the same degree of care it uses for its own confidential information, but no less than reasonable care.

Confidential Information does not include information that: (i) Is or becomes publicly available through no fault of the receiving party; (ii) Was known to the receiving party prior to disclosure; (iii) Is independently developed by the receiving party; (iv) Is required to be disclosed by law, regulation, or court order.

This obligation survives termination for a period of two (2) years.

[L&M MAJOR CHANGE: The original was completely one-sided — only protected Cornerstone. This makes it mutual, narrows the scope, adds standard carve-outs, and limits the survival period to 2 years. The original also allowed injunctive relief without bond, which is extremely aggressive.]

SECTION 9 — AGREEMENT CONTROLS

This Agreement, together with **Exhibit A (Rate Schedule)** and any written amendments signed by both parties, constitutes the entire agreement between the parties and supersedes all prior agreements, understandings, and representations. ~~This agreement supersedes any other shipping/receipt documents.~~

No modification of this Agreement shall be effective unless in writing and signed by authorized representatives of both parties.

SECTION 10 — LOSS/DAMAGE CLAIMS

Warehouse shall cooperate fully in the investigation of any loss or damage claims. Warehouse shall hold damaged shipments per Broker's written instructions **for a period not to exceed 30 days from the date of notice. After 30 days, Warehouse may dispose of damaged goods with 10 days written notice to Broker.**

Broker shall be responsible for investigation and resolution of in-transit claims against motor carriers.

~~Upon execution, Warehouse assigns ALL rights against motor carriers to Cornerstone.~~

Warehouse shall cooperate with Broker in pursuing claims against motor carriers, including providing documentation and witness testimony as reasonably requested. However, Warehouse does not assign its independent rights against motor carriers and retains the right to pursue its own claims for damage to Warehouse property or equipment.

[L&M MAJOR CHANGE: Removed the blanket assignment of ALL rights against carriers to Cornerstone. This was extremely one-sided — L&M needs to retain its own rights to pursue claims for damage to its property, equipment, or operations.]

SECTION 11 — NO REPACKAGING

Warehouse shall store and deliver goods in their original packaging. **Exceptions include: (a) break bulk operations as directed by Broker; (b) PLCB rework services as described in Exhibit A; © any repackaging mutually agreed upon in writing.**

SECTION 12 — STORAGE PERIOD

Storage shall be provided per the terms of each Delivery Order. **Standard storage rates as set forth in Exhibit A shall apply. Storage charges commence on the date of receipt and are billed monthly in arrears.**

~~No additional charges unless mutually agreed.~~

Additional charges may apply for: (a) storage beyond the initial free period specified in Exhibit A; (b) special handling requirements not contemplated at the time of this Agreement; © overtime or weekend/holiday labor requested by Broker. Any additional charges shall be communicated to Broker in advance.

[L&M CHANGE: The original said “no additional charges” which is unrealistic. This allows for legitimate additional charges with advance notice.]

SECTION 13 — WAREHOUSE SERVICES

(A) Services include: receive, unload, store, load, issue WRST, issue BOL, and such other services as set forth in Exhibit A.

(B) ~~Handling charges = ordinary labor at door only, NOT unloading vehicles.~~

Handling charges include ordinary labor for receiving goods at the dock and placing into storage. Unloading of containers and vehicles is a separate service charged per the rates in Exhibit A.

© Parties may add or delete services by mutual written agreement.

(D) Rates per **Exhibit A (Rate Schedule)** ~~Warehouse Notes Sheet or Delivery Order.~~

(E) Extra costs incurred due to damaged or improperly packaged goods shall be chargeable to Broker **upon prior written notice and documentation of the additional costs incurred.**

(F) Warehouse shall not be responsible for delays in service unless caused by Warehouse's failure to exercise **commercially reasonable care.**

[L&M CHANGES: (1) Clarifies that container unloading is a separate billable service. (2) Centralizes all rates in Exhibit A rather than scattered across multiple documents. (3) Requires documentation for extra cost charges.]

SECTION 14 — SHIPMENT DELIVERY

Warehouse shall use commercially reasonable efforts to carry out delivery instructions within the timeframe specified. **Standard turnaround for outbound shipments is 24-48 hours from receipt of a valid Delivery Order, subject to carrier availability.**

If Warehouse is unable to deliver goods to Broker's designated carrier due to carrier no-show or delay, **additional storage charges of \$35.00 per pallet per week shall apply after 7 calendar days.**

SECTION 15 — NO ASSIGNMENT

Neither party may assign this Agreement without the prior written consent of the other party, **which consent shall not be unreasonably withheld. Notwithstanding the foregoing, either party may assign this Agreement to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets upon written notice to the other party.**

[L&M CHANGE: Adds standard carve-out for corporate transactions — important if L&M or Cornerstone is acquired or restructures.]

SECTION 17 — TERMINATION

Either party may terminate this Agreement upon **sixty (60) days** ~~30 days~~ written notice to the other party. **The non-defaulting party shall provide written notice of any alleged default, and the defaulting party shall have thirty (30) days** ~~15 days~~ **to cure such default.**

Upon termination: (a) Broker shall remove all goods from Warehouse within 30 days of the termination effective date; (b) Broker shall pay all outstanding invoices within 30 days of the termination effective date; © Warehouse shall cooperate in the orderly transition of goods to Broker's designated successor.

[L&M CHANGES: (1) Extended termination notice from 30 to 60 days — gives L&M more time to plan for volume changes. (2) Extended cure period from 15 to 30 days. (3) Added clear transition obligations.]

SECTION 18 — NOTICES

All notices shall be in writing and delivered by email (with confirmation of receipt), certified mail, or overnight courier to:

Broker: Cornerstone Systems Inc. 3250 Players Club Parkway Memphis, TN 38125-8844 Attn: Risk Manager Email: vendors@cornerstone-systems.com

Warehouse: L&M Distribution and Logistics 1151 Beaver Street Bristol, PA 19007 Attn: Operations Manager Email: cornerstonesupport@lmwarehousing.com

SECTION 21 — DISPUTES

The parties shall first attempt to resolve any dispute arising under this Agreement through good faith negotiation between senior management representatives within **thirty (30) days** of written notice of the dispute.

If the dispute is not resolved through negotiation, ~~it shall be submitted to AAA binding arbitration.~~

Either party may pursue resolution through mediation administered by the American Arbitration Association. If mediation is unsuccessful within 60 days, either party may pursue binding arbitration under AAA Commercial Arbitration Rules. The arbitration shall be conducted in Philadelphia, Pennsylvania.

The prevailing party shall be entitled to recover its reasonable attorney's fees and costs.

[L&M CHANGE: Added mediation step before arbitration — cheaper and faster. Specified Philadelphia as the venue (L&M's home turf, not Memphis).]

SECTION 22 — LIENS

Warehouse shall have a lien on goods in its possession as provided under 13 Pa.C.S.A. Commercial Code Section 7209. **Warehouse shall provide Broker with no less than 30 days written notice before enforcing any lien.** No other liens shall apply.

EXHIBIT A — RATE SCHEDULE

1. Transportation Services

Service	Rate
Edison NJ Rail Ramp to KLS DC5, NE Philadelphia PA	\$615.72 base
Fuel Surcharge (current 25.0%)	\$153.93
All-Inclusive Rate	\$769.65

Fuel surcharge tied to DOE PADD 1B Central Atlantic weekly diesel price. Adjusts 0.5% for every 0.10*change from base bracket of* 3.85-\$3.94.

Volume commitment: 68 boxcars (272 loads), November 2024 through October 2025.

Operational terms: Pickup within 1-4 business days of notification. Up to 2 trailers may be dropped at destination.

2. Cross-Dock Services

Service	Rate
Cross-Dock per Pallet (MGX Edison to L&M facilities)	\$16.00

3. PLCB Rework Services (PA-510 Bensalem)

Service	Rate
Repack (includes case, new labels, case seal)	\$20.00/case
Shrink Wrap	\$4.00/pallet
Unload per Case (refused shipments)	\$0.60/case
Case Destruction (with owner approval)	\$3.50/case

4. Warehousing Services

Service	Rate
Storage (standard pallet position)	\$35.00/pallet/month
Handling In	\$8.00/pallet
Handling Out	\$8.00/pallet
Pallet Supply Fee	\$12.00/pallet
Slipsheet Unload	\$0.20/case

5. Ad-Hoc / Premium Services

Service	Rate
Expedited PLCB Delivery	\$750.00 all-in
Delaware Delivery	\$850.00 all-in

Ad-hoc services may include weekend/short notice premiums as applicable.

6. Service Level Commitment

Warehouse commits to an on-time delivery rate of **98.5% or greater** for all scheduled outbound shipments.

7. Facilities

Code	Address	Services
PA-1151	1151 Beaver St, Bristol PA 19007	Primary warehouse & distribution
PA-510	510 Station Ave, Bensalem PA 19020	PLCB rework operations
SC-577	577 Celriver Rd, Rock Hill SC 29730	Southeast distribution

SIGNATURE BLOCK

CORNERSTONE SYSTEMS INC.

By: _____ Name: Marc Purnell Title: Risk Manager Date: _____

L&M DISTRIBUTION AND LOGISTICS

By: _____ Name: _____ Title: _____ Date: _____